Article | 25 August 2026 GERMANY

Germany’s hot political autumn

The weather is cooling in Germany, but politics is heating up. Three state elections in a fortnight now decide how much authority the Merz government has left

Alice Weidel and Tino Chrupalla, co-chairpersons of Germany’s far-right Alternative for Germany (AfD) party

It is Germany’s super election year, and that is without a federal election. Two state elections at the start of the year, three more this autumn. State elections hit federal policymaking twice over: directly through the Bundesrat, which reviews every law parliament passes and can veto those touching state powers, and indirectly through the mood they set inside the parties and inside the governing coalition. A regional election is always that rare hybrid – a vote on local matters and local politicians, and a running poll on the popularity of the federal government.

Germany’s election year got off to a relatively quiet start, but is about to end with a bang. In March, the Greens held Baden-Württemberg by some 27,000 votes over a CDU that gained almost six points and then lost the top spot in the final days of the campaign, and the CDU took Rhineland-Palatinate after 35 years of Social Democratic rule. The CDU escaped with bruises. Its junior partner in the federal government, the SPD, continued the downward trend of recent years.

Now three state parliaments are up within a fortnight: Saxony-Anhalt on 6 September, then Mecklenburg-Vorpommern and Berlin together on 20 September. Roughly 5.4 million people are entitled to vote across the three, about 8% of the German electorate – and yet the outcome will set the political weather in Berlin for the remaining three years of this legislature, or could even end the coalition before the legislature officially does. In two of the three, the AfD leads. In the third, Die Linke does. In none of the three does the incumbent coalition still have a majority.

The timing is unkind. Friedrich Merz is one of the least popular chancellors ever; his party stands at some 21% in national polls, the SPD at 12, the AfD at 29. Government and country are struggling to agree on the far-reaching reforms needed to pull the economy out of a stagnation that has lasted far too long, regain competitiveness and confront structural challenges from demographic change to China's shifting role in the global economy. CDU and SPD agreed a reform package just before the summer, but not everyone in the parties supports it and implementation is cumbersome. The AfD, meanwhile, benefits from the government's inability – and at times unwillingness – to push reforms through quickly, and from the plain fact that reforms come at a cost.

What the polls are telling us

The election that probably matters most for the bigger picture is **Saxony-Anhalt** on 6 September. Not because of its size – 2.2 million people, four Bundesrat votes, the eleventh-largest state – but because the AfD is polling above 42% and could, for the first time in the Federal Republic's history, supply a state premier. If it wins an absolute majority, the case is clean-cut. If it comes first without one, uncertainty increases rather than falls: every other party would have to squeeze into a single coalition, or one of them would become kingmaker as the AfD's junior partner.

The incumbent CDU has no comfortable way out. Sven Schulze took the premiership only in January, succeeding Reiner Haseloff after 15 years, and his CDU-SPD-FDP coalition has since shed roughly a quarter of its support. On current polling, exactly one majority exists that excludes the AfD: CDU plus Die Linke plus SPD, with about one seat to spare. One seat, for five years, with a partner the CDU's own federal resolution forbids it to govern with.

Mecklenburg-Vorpommern offers a slightly different example. The AfD leads at 36% with Leif-Erik Holm, but Manuela Schwesig's SPD is at 29% – an extraordinary number for a party polling around 12% nationally. Asked directly who should be premier, voters back Schwesig over Holm by 47 to 27. Just 12% want a CDU-led government at all.

Schwesig's coalition with Die Linke would nonetheless lose its majority. The likely repair is an SPD-Linke-CDU arrangement, which would put the CDU into government as the fourth-placed junior partner of a red-red coalition. Note the shape of that: to keep the AfD out, the CDU may end up governing with Die Linke in two states on the same fortnight.

Berlin is a different animal: 2.4 million voters, four Bundesrat votes, and an AfD that at 17% is nearly double its 2023 result but nowhere near winning. The drama here is fragmentation: Die Linke, CDU, AfD, Greens and SPD are currently inside six percentage points, and every plausible majority needs three of them.

The CDU has fallen roughly nine points from its 2023 high, and Kai Wegner – the first conservative mayor of Berlin since 2001 – withdrew his candidacy in July after months of criticism over his handling of the January blackout, staying on only until a successor government is formed. Finance Senator Stefan Evers inherited the candidacy and the acting party chairmanship with 10 weeks to run. Die Linke, campaigning hard on rents and expropriation with Elif Eralp, currently leads.

The AfD's grab bag of economic policies

Underneath these three horse races sits a broader story, and one that markets and the business community should be paying more attention to than they are: the rise of the AfD to Germany's largest political party, at least according to the polls.

On economic policy, the AfD remains a grab bag, or a surprise bag. What it actually wants is unclear; contradictions are not rare and very little has been committed to paper. The 2025 federal manifesto, adopted unanimously ahead of the federal election and still the binding party programme, contains an entire chapter demanding Germany's exit from the euro, a return to a national currency, gold repatriation and Target-2 "monetarisation". It also called for higher pensions. The ZEW scored it as having the largest financing gap of any party's programme.

Earlier this year, the AfD's parliamentary group published a position paper on economic policy. Measured against the 2025 manifesto, the deletions are the headline. The entire monetary-sovereignty complex – euro exit, D-Mark, gold, Target-2, Bitcoin – the party's founding DNA from 2013, is absent without a trace. Russia policy is laundered into supply-chain language. What remains is dressed as poisoned fruit for the CDU: the paper builds its tax reform on Paul Kirchhof's proposals – the flat-tax architecture Angela Merkel brought into the 2005 campaign, and which the SPD then turned into the "professor from Heidelberg" caricature that nearly cost Merkel the chancellery – and defends the constitutional debt brake as sacrosanct. The AfD is handing the CDU back a weapon that once blew up in its hands.

Where the party does put numbers on paper, the numbers have now been checked. On 5 August, a month before polling day, the Halle Institute for Economic Research costed the AfD's Saxony-Anhalt programme. Of 136 cost-effective measures, 28 can be quantified by official sources, at roughly €1.6bn a year; add the €877m of already-planned borrowing the party's no-new-debt pledge would have to replace, and the annual financing need is about €2.5bn. Against that stand €243m of provable savings, on assumptions deliberately generous to the AfD. Less than ten cents of every promised euro is covered. The residual gap of at least €2.2bn equals roughly a quarter of the state's entire tax revenue – and it is a floor, since 108 of the

136 measures could not be costed at all. However, here is the uncomfortable part for anyone who believes costs win arguments. The study landed on 5 August. The AfD's polling has risen since.

And then there is the small matter of what the party leader says when the cameras are on. In the ZDF Sommerinterview on Sunday, filmed in Vienna where she was meeting the FPÖ, Alice Weidel walked through the entire case against the single currency: an unstable soft currency, a machine for redistribution, a country that was doing distinctly better before it. What she did not do was say plainly that an AfD government would take Germany out of the eurozone. The argument was made in full; the commitment was left hanging. On Schengen she was blunter: the treaty would be cancelled. Which tells you something about where the party thinks its caution still pays. Even leaving the financing question aside, it remains completely unclear what kind of economic policy a state – or the country – would get with the AfD in government.

Why the three state elections matter for national politics

The direct impact on the German economy from the September elections will be very limited. At best, new state governments could undermine support for the federal reform package and slow implementation, or eventually derail it. The indirect impact could be much larger. Beyond the symbolic effect one or several AfD wins would have on foreign investor sentiment, there are potential reactions inside the parties themselves that could slow reform further and eventually bring down the federal government. Three triggers are worth watching.

One: the cordon sanitaire becomes expensive. Chancellor and CDU leader Friedrich Merz has held the line against cooperation with the AfD. September's arithmetic sends the bill. If the only non-AfD majorities in Saxony-Anhalt and Mecklenburg-Vorpommern are coalitions in which the CDU governs alongside Die Linke, an ugly internal debate follows about which taboo is load-bearing: the firewall against the AfD, or the party resolution ruling out coalitions with the Left.

Two: leadership risk becomes live. Merz remains the least popular chancellor on record. His U-turn on the debt brake and fiscal stimulus, the gap between words and action, the slow and cumbersome reform effort and some clumsy personnel management have all drawn criticism from within his own party. Over the summer there were already rumours of an attempt to replace him after the September elections. Easier said than done – but the mere existence of the debate signals unrest, and unrest can grow.

Three: the SPD's slowly growing existential crisis. There is a real risk the SPD misses the 5% threshold in Saxony-Anhalt and drops out of the state parliament altogether – unprecedented, and deeply unsettling for a party leadership already short of good news. The weaker the SPD's support, the likelier an internal fight over course: press on with the government's reform agenda, or unwind much of it and take a more French approach to economic reform.

For the economy, nothing will change in September. What the elections could change is the price of everything the government still wants to do. And how much time it will have left to do it.

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Article | 28 August 2026 FX NEW ZEALAND

RBNZ preview: A 25bp hike, with some dovish risks

The Reserve Bank of New Zealand should hike rates by 25bp on 2 September, in line with expectations. We also think they will retain a bias for more tightening, but the bar to match markets very hawkish expectations for the next year is set high. The new set of projections carries some dovish risks and can weigh on NZD

We expect the Reserve Bank of New Zealand to increase its overnight cash rate by 25bp to 2.75% on 2 September and expect one more 25bp hike after that

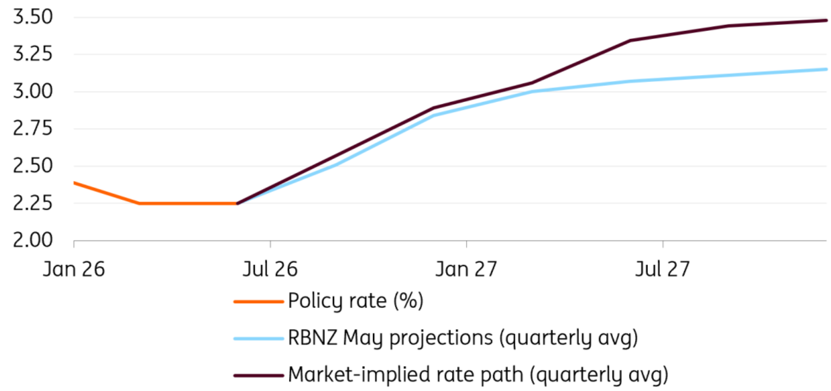
RBNZ to hike, but bar is high for hawkish surprise

We expect the Reserve Bank of New Zealand to increase its overnight cash rate (OCR) by 25bp to 2.75% on 2 September. When rates were last hiked in July, the RBNZ said that "some further reduction in monetary stimulus is likely to be required". In its May projections, based on higher oil price assumptions, signalled rates could reach 3.0% by year-end and remain there throughout 2027.

Markets are currently matching those projections for 2026, but are even more hawkish for 2027, despite lower energy prices. A September hike is fully priced, with another expected by year-end. Beyond that, the OIS curve implies a further 50bp of tightening, taking rates to 3.50% by mid-2027.

Against this backdrop, we see scope for dovish risks heading into the meeting. The bar for the RBNZ to validate the market's aggressive tightening expectations appears high.

Markets even more hawkish than May's RBNZ projections



Source: ING, RBNZ, Refinitiv

Inflation should be revised lower

Since the July hike, New Zealand has released its 2Q inflation and labour market data. CPI rose from 3.1% to 4.1%, marginally below the RBNZ's 4.2% forecast, largely due to higher energy prices. Employment growth surprised to the upside at 0.5% quarter-on-quarter versus an expected 0.1%, but a sharp increase in participation pushed the unemployment rate up unexpectedly, from a revised 5.4% to 5.6%.

Taken together, the data fully support a September hike and argue for retaining a hawkish bias. That said, the inflation projections released at this meeting should be revised lower. We expect headline inflation to fall back below 4.0% from 3Q26, rather than 1Q27 as projected in May. As a result, rate projections may not need to move higher, leaving 3.0% as the peak of the tightening cycle. With markets pricing a peak of 3.50% by mid-2027, that could be seen as a dovish outcome. There is also a risk that not all RBNZ members are equally convinced by the case for further tightening, leading to a more nuanced and less hawkish message.

Rates heading to 3.0%, NZD upside limited

Our call for the RBNZ is for two more hikes. One at this September meeting, and another either at the December or February meeting. We are less convinced than markets on further hikes. Growth and labour markets are cause for concern and a decline in oil prices could send inflation below worrying levels earlier than expected.

For FX, we see downside risks for the NZD around this meeting, given the high hurdle for the RBNZ to validate market pricing. Further out, we still think a repricing of dovish Fed expectations, even after Warsh's hawkish Jackson Hole speech, can lift NZD/USD into year-end.

However, a less hawkish RBNZ than markets anticipate could limit gains and keep the pair capped around 0.60, our current year-end target.

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POLAND

Poland’s draft 2027 budget: Not great, not terrible

Poland is on course to run the EU s largest fiscal deficit in 2027 at 7.1% of GDP. While the draft budget is not as irresponsible as some investors had feared, given next year s general election and the populist ideas promoted by the ruling party and the opposition, fiscal consolidation has been delayed once again

The fiscal deficit is set to run above 7% of GDP in Poland

Macroeconomic assumptions seem reasonable

The macroeconomic assumptions underpinning the draft state budget do not appear particularly controversial. The government is forecasting GDP growth of 3.0% and CPI inflation of 2.8%. These projections are broadly in line with our baseline scenario, which envisages economic growth of 3.2% next year and consumer inflation of around 2.5%.

Similar to our expectations, the government also expects wage growth to continue moderating. According to the Ministry of Finance's projections, the average wage in the economy will increase by 5.9%, following estimated growth of 6.4% in 2026. The registered unemployment rate is forecast to stand at 6.0% at the end of 2027, compared with our projection of 5.9%.

Key variables in the 2027 draft state budget

	2026E	2027P	Change
Real GDP , %	3.6	3.0	-0.6
CPI inflation, (avr) %	3.0	2.8	-0.2
General Government Balance, % of GDP	-7.1	-7.1	0.0
State budget balance, bn PLN	271.7	-282.6	-10.9
Net borrowing needs, bn PLN	320.0	317.0	-3.0
Gross borrowing needs, bn PLN	<600	565	-35
Debt servicing costs, bn PLN	90	107	17

Source: Polish Press Agency

Fiscal imbalance to remain high

The 2027 general government deficit is projected at 7.1% of GDP and will likely be the highest in the European Union next year. The 2026 deficit estimate was revised to 7.1% of GDP from 6.5% of GDP projected in the 2026 budget act due to, among other things, the fiscal costs of the temporarily lowered excise duty and VAT rate on fuels. The draft budget embraces fiscally neutral changes to direct taxes that were announced previously. The list of spending priorities remains long, including (1) security, (2) healthcare and (3) economic growth.

The 2027 draft budget bill means continued fiscal expansion and a lack of progress in the consolidation of public finances. Authorities are not taking steps to end the excessive deficit and bring it below 3% of GDP any time soon. As a result, public debt will continue mounting and may face limits envisaged in the public finance law in 2028 or 2029. The domestic definition of debt above 55% of GDP requires undertaking substantial austerity measures and the constitutional limit of 60% of GDP allows no deficit in the budget act next year.

Borrowing needs in 2027 will be lower amid fewer grants and loans from the EU

At first glance, projected gross borrowing needs for 2027 compare favourably with the expected 2026 outturn. While the details of the draft budget have yet to be released, we assume this largely reflects the timing of EU fund disbursements.

The scale of loans financed from European funds will be lower in 2027 than in 2026, following the completion of the National Recovery and Resilience Plan, reducing borrowing requirements financed through non-market sources.

In addition, timing mismatches in cash flows related to grants will generate smaller financing needs. Lower gross borrowing requirements are therefore unsurprising and in line with our expectations. These are cash flows and therefore do not affect the general government balance, although they are relevant from the perspective of managing state budget liquidity.

Muted market reaction

For financial markets, the key information on borrowing requirements will be the amount financed through market instruments, as this determines the supply of government securities. We do not expect this amount to be significantly higher than in the current year.

The net borrowing requirement for next year announced so far (PLN317bn) is close to this year's projected outturn (PLN320bn) and should not cause market concern, although the details and planned financing structure will be important.

Markets are aware of the difficulties involved in fiscal adjustment under the current political circumstances, including difficult cohabitation between the government and the president and next year's parliamentary elections. In our view, however, the fiscal plans should provide some reassurance to financial markets. Concerns about next year's budget have been reflected, among other things, in elevated spreads, including long-term asset swaps.

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Hungary’s labour market eases, but structural pressures remain

Although wage growth moderated and participation rates rose, seasonal factors rather than structural changes drove both. Supply-side pressure is expected to increase in the labour market even in the short term due to a continuous decline in the working-age population

An ageing population in Hungary is shrinking the pool of working-age people, adding to labour market pressures

The Hungarian Central Statistical Office (HCSO) has released data on wages and unemployment. Although the earnings figure showed a significant slowdown in growth in June, the overall trend remains positive. The headline unemployment figure rose in July, driven by additional workers entering the job market.

While the participation improved the short-term outlook, this does not mean that the problem of population decline has disappeared. It is expected that pressure from negative demographic trends will be put on the economy in the coming quarters.

The era of double-digit wage growth is fading

7.1%

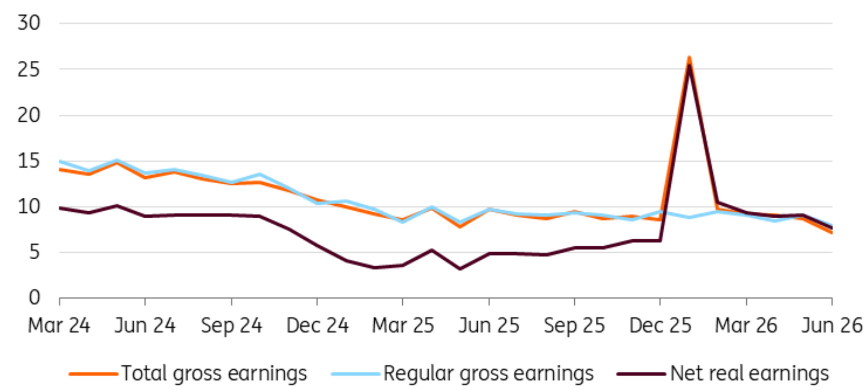
Average wage growth (Jun)

ING Forecast 8.4% / Previous 8.7%

The latest average earnings statistics from the HCSO have come as a significant negative surprise after a long time. The figures show a 7.1% year-on-year increase in gross average earnings in June 2026. This represents a huge slowdown compared with the previous month and is the lowest figure since 2021 (excluding the dip in 2023 caused by the base effect of the one-off bonus for armed forces). Net earnings continue to grow faster than gross earnings due to changes in family tax allowance and tax relief for mothers since the start of this year.

Median earnings have risen at a slightly faster rate than the minimum wage, remaining close to the minimum wage increase rate. This may indicate that wage compression persists, primarily in the first to third income quintiles, a situation that companies have sought to address.

Nominal and real wage growth (% YoY)



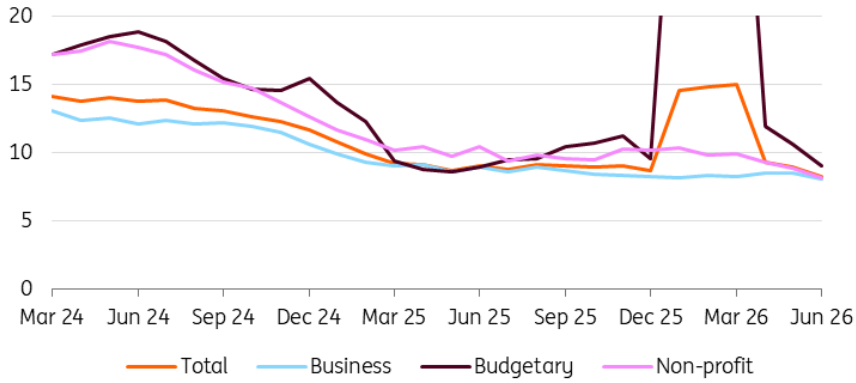
Source: HCSO, ING

Purchasing power continues to grow dynamically. Against a backdrop of low inflation and robust wage growth, net real earnings increased by 7.6% YoY in June. Combined with relatively high consumer confidence, this provides a solid foundation for further increases in consumption.

Similar trends are evident in the main sectors: wage increases of between 7.0% and 8.1% were observed in the private, budgetary and non-profit sectors. A closer examination of the data reveals that above-average wage increases were seen in the mining and electricity sectors, as well as in the construction industry. Conversely, wage growth was below average in the transport, warehousing, accommodation and catering sectors. This is likely due to the effect of a higher proportion of low-wage seasonal workers. Double-digit wage growth continues to be observed only in the social care and education sectors.

As previously indicated, a significant shift is emerging in public sector wage trends. Rather than the double-digit growth previously seen, the increase in June was just 5%. As salaries have been significantly cut in many areas for public servants, a further slowdown is expected here in the coming months.

Wage dynamics (3-month moving average, % YoY)



Source: HCSO, ING

The 11% and 7% increases in the minimum wage and guaranteed minimum wage, respectively, which were announced in January, appear to be a key determinant of annual wage trends in 2026. This is reinforced by the fact that the Hungarian labour market remains tight. Although there is a downward trend, some companies are still building up labour reserves, which, in light of the improving economic outlook, may now prove to be a successful strategy. Meanwhile, demographic trends are already putting structural pressure on the labour market supply, leading to higher wages even in the short term.

The latest June data has not altered our overall outlook, so we are still expecting annual average wage growth of around 9-10% for 2026 as a whole. However, looking ahead to the autumn months, our attention is already turning towards next year's minimum wage negotiations, as the current three-year wage agreement clearly needs to be reviewed. In light of the planned personal income tax changes for next year, it would not be surprising if gross minimum wages were to rise by a much smaller low single-digit percentage than we have become accustomed to in recent years.

A summer boost for employment

4.6%

Unemployment rate (May–Jul)

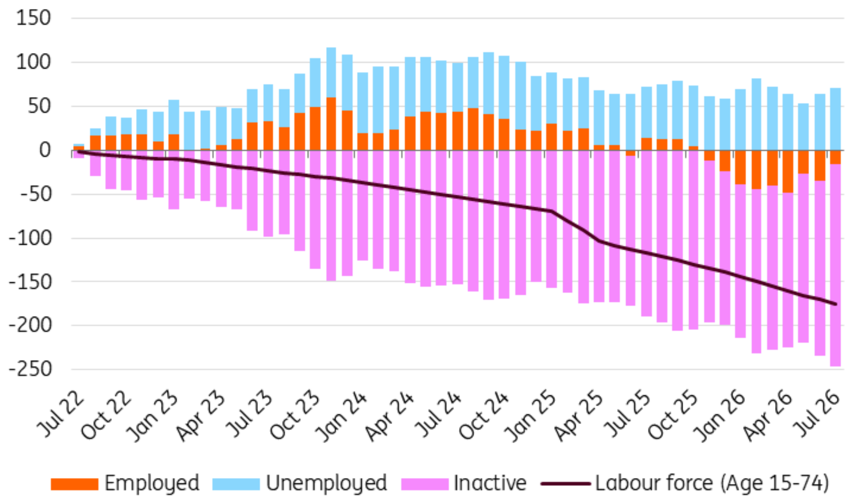
ING estimate 4.4%/ Previous 4.5%

According to the latest labour market statistics from the HCSO, the unemployment rate has risen slightly once again. In July, the unemployment rate rose to 4.5% according to the monthly model estimate. Meanwhile, the official three-month moving average survey was also moving upwards to 4.6%. At first glance, these two indicators suggest a negative trend in the labour market. However, closer analysis of the detailed data reveals a more nuanced picture. The number of unemployed people changed only minimally, remaining at around 220,000 in July, which is in line with last year's average.

A closer look at the details shows some notable positive changes. The number of economically inactive people has decreased by almost 42,000. Of this decrease, around 5,000 can be attributed to a fall in population, while the remaining 37,000 people became active participants in the labour market. Of these, 29,000 found jobs, meaning employment rose by this amount in July. However, an additional 8,000 people joined the ranks of the unemployed. The increase in the number of employed people in July was so significant that the latest statistics mark a peak not seen since August last year. Furthermore, the average employment rate over the past three months reached a new record of 65.5% for the May-July period.

In our view, this positive change is primarily a reflection of the increase in seasonal work. This is indicated by the fact that the increase was primarily among women in the workforce, which, based on recent years' statistics, is a typical summer phenomenon. It is also worth briefly returning to the issue of population decline, which continues. Based on the latest data, this trend means that by July 2026, the working-age population will be 175,000 smaller than in mid-2022, when the Hungarian labour market was at its peak.

Changes in the labour market since mid-2022 ('000, 3-m moving avg)

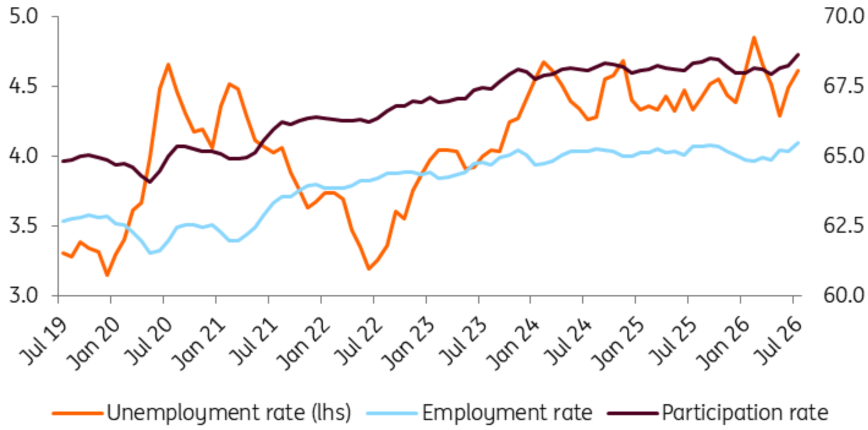


Source: HCSO, ING

While the labour market remains tight, the overall picture is mixed in terms of key rates. Nevertheless, we would still describe the situation as favourable. However, geopolitical risks and changes in domestic economic policy continue to dampen business optimism.

According to a recent local survey, companies' willingness to hire has declined slightly compared to July, and a small majority of firms are considering reducing their workforce rather than expanding it. Significantly rising labour costs appear to be forcing more and more companies to streamline their operations, and it is hard to believe that the planned workforce reductions are primarily driven by a desire to improve efficiency. This is particularly true in light of the latest investment statistics, which also painted a bleak picture for the second quarter.

Historical trends in the Hungarian labour market (%)



Source: HCSO, ING

Looking ahead, we do not anticipate any significant changes to the supply side of the labour market. There are no demographic shifts on the horizon that may prompt company executives to exercise caution when planning their workforce.

As the end of the year approaches, the issue of next year's wages is becoming increasingly pressing and will present employers with difficult decisions. The three-year wage agreement will certainly need to be revised, and the expected overhaul of the personal income tax system may also create a new situation. The sooner companies gain clarity on these issues, the sooner new labour market trends will emerge.

In light of the latest data, we are maintaining our labour market forecast for this year, which projects an average unemployment rate of around 4.5%.

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Article | 28 August 2026 HUNGARY POLAND

CEE & CCA week ahead: Kazakhstan rate decision and Polish GDP

Poland will release second-quarter GDP and August inflation data next week, while Hungary and Turkey publish key growth figures and Kazakhstan delivers its latest rate decision

We expect Kazakhstan to cut its base rate by a cautious 25bp to 16.50% on 4 September

Poland: Investment expected to support second-quarter growth

We expect the flash estimate of Poland's 2Q26 GDP to be confirmed at 3.8% YoY on 31 August. Statistics Poland will also publish a composition of economic growth. We estimate that private consumption growth eased to 3.0% YoY from 3.3% YoY in 1Q26 as higher fuel prices and further slowdown in wage growth put pressure on purchasing power. At the same time, fixed investment growth increased to 8.5% YoY from a disappointing 2.4% YoY in the previous quarter. Projects financed by the EU funds (including RRF) accelerated, and data on investment outlays of large companies in 1H26 point to strong investment activity in 2Q26.

Monday also brings August CPI inflation, which probably inched up to 3.1% YoY from 3.0% YoY in July. We estimate that core inflation remained unchanged at 3.1% YoY and the slightly higher contribution from fuel prices to annual CPI was probably almost fully cancelled out by the negative impact of food deflation that likely deepened.

Hungary: GDP details to shed light on second-quarter disappointment

The Statistical Office will release further details on second-quarter economic activity, with final 2Q26 GDP data due on 1 September. Following a strong first quarter, expectations were for similarly robust growth in the second quarter. The estimate data was disappointing, and we will now find out why. We expect agriculture and construction to be major drags on growth. Services will be shown as the main driver, with a positive contribution from industry as well. In terms of final use, consumption remains king, but we anticipate a significant negative impact from investment activity – potentially the most important surprise factor.

The first hard data regarding the third quarter will be released on 4 September. Following the disappointing retail performance in June, we are expecting a rebound. This will be partly due to the effect of the FIFA World Cup which boosted both food and non-food retail. With fuel prices dropping in the first half of the month and expectations of future price increases, fuel sales may have increased as well. Overall, there is some potential for an upside surprise in the July retail sales figures.

Turkey: GDP and inflation releases to provide fresh read on activity

August CPI inflation is released on 3 September and will have likely risen by 1.6% MoM, translating into 31.2% YoY (vs 31.8% a month ago), driven by tobacco price hikes in addition to higher motoring prices. Regarding the 2Q GDP next Monday, we expect year-on-year growth at 2.7% with a supportive industry despite relatively sluggish performance in services and construction.

While the early indicators implied visible softening in 2Q26 domestic demand, we currently see the whole year GDP growth at 3.0% with geopolitical tensions remaining as the key downside risk.

CIS: Kazakhstan rate cut hinges on inflation slowdown

We expect Kazakhstan to cut its base rate by a cautious 25bp to 16.50% on Friday 4 September, provided August CPI, due on 31 August, falls into single digits from 10.2% YoY in July. The tenge's stronger-than-expected performance throughout the summer has made us slightly more dovish. However, currency strength remains the only disinflationary factor, while other cost pressures and demand continue to support inflation. The cut could therefore be postponed (a less likely, but still probable case) or accompanied by more cautious guidance.

Key events in CEE & CCA next week

Country	Time (BST)	Data/event	ING	Prev.
		Monday 31 August		
Turkey	0800	Q2 GDP (QoQ%/YoY%)	-/2.7	0.1/2.5
	0800	Jul Unemployment Rate	-	7.6
Poland	0800	Q2 GDP Prelim (QoQ%/YoY%)	0.9/3.8	0.9/3.8
	0800	Aug CPI Prelim (MoM%/YoY%)	0.1/3.1	0.8/3
		Tuesday 1 September		
Russia	0700	Aug S&P Global Manufacturing PMI	-	50.7
Turkey	0800	Aug Manufacturing PMI	-	47.7
Poland	0800	Aug S&P Global Manufacturing PMI	50.9	49
Czech Rep	0830	Aug S&P Global PMI	-	52.2
Hungary	0730	Q2 GDP Final (YoY%)	1.7	1.7
	0800	Aug Manufacturing PMI	52.3	51.4
Kazakhstan	-	Aug CPI (MoM%/YoY%)	0.7/9.9	0.6/10.2
		Wednesday 2 September		
Russia	1700	Jul Retail Sales (YoY%)	-	7.3
	1700	Jul Unemployment Rate	-	2.2
		Thursday 3 September		
Russia	0700	Aug S&P Global Services PMI	-	49
	0000	Aug S&P Global Composite PMI	-	49.6
Turkey	0800	Aug CPI (MoM%/YoY%)	1.6/31.2	1.8/31.8
	1230	Gross FX Reserves (USD bn)	78.6	75.2
Czech Rep	0800	Q2 Gross wages (YoY%)	-	6.4
		Friday 4 September		
Czech Rep	0800	Jul Retail Sales (MoM%/YoY%)	-/-	-0.1/3.6
Hungary	0730	Jul Retail Sales (YoY%)	4.2	3
Kazakhstan	0000	Rate Decision (%)	16.50	16.75

Source: Refinitiv, ING

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FX Daily: Keeping an eye on the long end

At the end of a quiet week in FX, the highlight today is a speech from Fed Chair Kevin Warsh at the Jackson Hole symposium. Given that financial innovation is the theme of the event, there are no guarantees he ll go anywhere near monetary policy today. However, FX markets and risk assets in general will take their cue from how long-dated Treasuries perform


Fed Chair Kevin Warsh takes the stage today at the Jackson Hole Symposium

USD: Will Warsh go near monetary policy today?

It has been a quiet, risk-positive week for global asset markets. Volatility remains low and the picture in G10 FX has been mixed, with certainly no follow-through on the dollar debasement theme which returned last week. The FX market expects little from Kevin Warsh today, with a one-day USD/JPY straddle pricing around a 35 USD pip range today. On Warsh, he speaks at a symposium dedicated to financial innovation and is immediately followed by speakers on tokenised finance and payment innovation. He has a 30-minute slot at 1600 CET/10ET today and there is no Q&A. It may well be that he avoids any discussion of monetary policy whatsoever and is quietly contented with market pricing of a Fed September hike having slipped back to 8/9bp. If he does go near monetary policy, expect a reiteration of a Fed commitment to monetary policy – especially after his performance at the July FOMC unnerved the long-end of the Treasury market.

We suspect FX markets will take their cue from long-dated US Treasuries today. If somehow a hawkish read emerges, then the dollar can advance against the low-yielders of CHF and JPY. If Warsh underestimates the mood at the long-end of the market and 30-year Treasury yields spike back towards 5.30%, higher volatility will see higher-yielding carry currencies underperform and probably CHF start to outperform again as it did briefly last week.

Coincidentally, at the time as Warsh is speaking, the Bureau for Labour Statistics announces its annual nonfarm payroll benchmark revisions. Consensus expects a close to +200k revision, versus a prior revision of -911k. Any surprises here could be noteworthy. But on the subject of US macro and the Fed, next week should be much more illuminating, given all the jobs data releases, the Fed's Beige Book and a moderated discussion with Chris Waller next Thursday.

We presume Warsh will do his utmost to avoid upsetting the bond market today – perhaps by avoiding monetary policy altogether – and see DXY trading in a quiet 99.00-99.30 range.

Chris Turner

EUR: Gas and French bonds may be weighing

EUR/USD has softened a little this week despite encouraging eurozone data, hawkish ECB commentary and a relatively supportive risk environment. Perhaps holding the euro back has been natural gas prices pushing close to EUR70/MWh and some more belligerent commentary out of Russia. Certainly, the CEE FX complex seems to have taken note of the potential for escalation in the conflict, with investors preferring to scale back heavily overweight positions in Hungary.

On France, our rates strategy team are focusing on French-German bond spreads staying near recent wides as the French presidential campaign gets underway. Marine Le Pen, running on a ticket of fiscal austerity, is still far ahead in the opinion polls, but French debt has yet to respond. There does not seem to have been a clear winner in the first of the TV debates which took place last night.

There is quite a busy eurozone data calendar today, of which French and Spanish August inflation is probably the highlight. Rising headline and perhaps core rates too can keep another 50-60bp of ECB tightening priced into money market curves and probably keep the euro supported.

46 USD pips are priced by the FX options market for the EUR/USD range today. A 1.1620-1.1665 range is possible if Warsh avoids rattling the bond market and conditions remain calm.

Chris Turner

KRW: Onwards and upwards

The Korean won continues its advance. The driver this week has been back-to-back rate hikes from the Bank of Korea, with the policy rate now a reasonably high 3.00%. The Bank of Korea has its own, Fed-like, Dot Plot. The median expectation is for the policy rate to reach 3.25% in six months' time. The good news is that rate hikes are not only being driven by above-target inflation, but by broadening and strengthening growth prospects. GDP forecasts have been revised substantially higher for 2026 and 2027 as the chip export boom filters across large parts of the economy.

However, KRW/JPY has quickly returned to the highs seen in 2023/24. This might be a problem for Korean authorities fearful of Japanese competition in third markets. Yet having suffered such a weak won for so long, we suspect local authorities will be prepared to tolerate current strength. There is an outside risk to 1350, but USD/KRW has come a long way in a short space of time and is probably due some consolidation.

Chris Turner

BRL: Presidential polling in play

It has been a positive environment for the carry trade, but what has also been helping the Brazilian real this week has been an opinion poll showing that President Lula's lead over Flavio Bolsonaro has dropped to just one percentage point. Bolsonaro is running on a ticket of fiscal consolidation and hoping to emulate the victory of Colombia's Abelardo de la Espriella this year, which has been greeted warmly by local asset markets.

The first round of the Brazilian presidential election takes place on 4 October. Expect USD/BRL to be bounced around by polling results before then. But with 12% implied yields through the forwards and the chance of a regime change, we suspect the real can continue to comfortably outperform the steep forward curve.

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RATES SPARK

Rates Spark: Hawkish ECB not helping French government bonds

French government bond (OAT) spreads face more widening pressure as political uncertainty adds to the precarious fiscal situation. But spillovers to other markets remain limited. Elsewhere, for thoughts on Friday s Jackson Hole Symposium and the US Treasury buyback story see here and here

France is moving into focus given its precarious fiscal position and added layer of political uncertainty

EUR rates face a hawkish ECB and scrutiny of France

European rates have backed up again over the past few sessions, with the 10y Bund yield back at 3.25%. The backdrop is one where the relief in energy markets has proved only fleeting, especially as natural gas prices in Europe have once again come closer to recent peaks. The European Central Bank itself was quick to signal that it stands by its hawkish intentions, and Isabel Schnabel is more likely to reiterate that stance at the Jackson Hole Symposium today.

France is increasingly moving into the focus of markets given its precarious fiscal situation and the added layer of political uncertainty. Last night saw the first presidential debate of the main contenders that included Le Pen and Melenchon. Polling has given rise to prospects of the latter advancing to the second round run-off in the elections amid a more fragmented political centre. Markets see Melenchon as potentially more disruptive.

10y French government bond spreads over their German peers have widened beyond 85bp in the past weeks; thus closing in on the peak of 2024. Spreads are also 3bp above their Italian peers, which suggests that a high uncertainty premium is already baked into the spread. Italy remains lower rated, still shows higher debt levels and is potentially also more exposed to ongoing geopolitical turmoil. But for now the market is more concerned about the worsening trajectory of France and headline risks are bound to increase.

That said, after Friday’s market close, Fitch has scheduled a review of its A+/Stable rating for France. We doubt that the agency will update its assessment ahead of the budget with limited new information thus far to justify changes.

Friday's events and market views

The highlight will be Fed Chair Warsh speaking in the European afternoon at Jackson Hole. Even though we don’t expect much to work with, all words will be weighed carefully by markets. In terms of data, we have US payroll revisions which could give a feel for the accuracy of payroll figures in 2026. We also get some interesting data from the eurozone, including French and Spanish CPI figures for August. Headline numbers are expected to nudge slightly higher. We also have confidence numbers for the eurozone aggregate, which consensus sees improve slightly versus the previous month.

Italy will auction 5y BTP, New 10y BTP, 8y CCTeu and 9y CCTeu for a total of €8.5bn.

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Article | 27 August 2026 FX

FX Daily: September Fed conundrum remains

We read yesterday's PCE print as benign enough to stick to our call for no Fed hikes this year. But markets are still hawkish, and the risk is that the FOMC may be drawn into a hike by market pricing, if only to avoid triggering bond volatility. Tomorrow's speech by Chair Kevin Warsh could be pivotal. Meanwhile, CAD and AUD are on very different trajectories

Jackson Hole takes centre stage tomorrow as Kevin Warsh delivers what could be a market-moving speech

USD: Wait and see ahead of Warsh's speech

Data releases in the US yesterday were a mixed bag, offering some support to the dollar but failing to solve the market's conundrum about the September FOMC (pricing now 9bp). Core PCE, the Federal Reserve's preferred inflation gauge, printed in line with expectations at 0.2% month-on-month and 3.3% year-on-year, suggesting disinflation remains on track but at a frustratingly gradual pace. Headline PCE came in slightly firmer at 0.2% MoM and 3.7% YoY, prompting a small hawkish repricing in the USD curve.

The growth side of the report was softer. Real personal spending was unchanged in July despite higher real disposable income, with households opting to save rather than spend. Real household disposable income has effectively flatlined for more than a year.

Overall, we remain reasonably confident in our call for the Fed to hold on 16 September and, by extension, in a weaker dollar. That said, the next three weeks may need to bring a more convincing combination of data and Fedspeak before markets move closer to a hold outcome. Our concern is that, if markets are pricing roughly a 50% chance of a hike by decision day, the likelihood of a hike would increase, as the Committee may be reluctant to risk triggering bond market volatility.

Tomorrow's speech at Jackson Hole by Kevin Warsh remains a potentially pivotal event for FX, and markets may be reluctant to build excessive USD shorts today. DXY may find support above 99.0 into the speech despite some upbeat risk sentiment after strong Nvidia results.

On a separate note, we discuss why we think CAD has further to fall, especially in the crosses, on the back of the latest US-Canada trade tensions here.

Francesco Pesole

EUR: Not touched by Russia headlines

Energy prices inched higher yesterday after a report suggested the Kremlin is planning a new escalation in the Ukraine war after negotiations for a peace deal reached an end. Reportedly, that could mean an intensification of conventional ballistic missile strikes.

The Russia-Ukraine conflict has been completely sidelined by markets for a while, and there was little to suggest hopes of a resolution were building up. The commodity markets continue to look only at the Middle East situation and it's too early to draw any conclusions for the euro from yesterday's headlines.

The eurozone data calendar is quiet today, and EUR/USD can stabilise around 1.1640-70 ahead of Warsh's speech at Jackson Hole. On politics, it's worth keeping an eye on the first French presidential debate. Marine Le Pen is currently leading in the polls.

Francesco Pesole

JPY: Tokyo CPI shouldn't change hawkish views

Tokyo CPI for August is released at 00:30 BST tomorrow. The headline is expected to inch lower to 1.9% (from 2% in July) and core to 1.8% (from 1.9%). A close-to-consensus print should not derail market confidence on a rate hike by the Bank of Japan on 18 September (21bp currently in the price), after US Treasury Secretary Scott Bessent called for a policy follow-up to FX intervention and July CPI surprised on the upside.

The two-year USD:JPY swap rate differential has shrunk by around 35bp in the past 30 days, but the yen has failed to attract buyers below 158. With a lot of BoJ tightening in the price, the risks are that officials disappoint markets on the dovish side even if they hike in September.

Ultimately, a dovish Fed repricing remains the most tangible path to keep USD/JPY below 160.

Francesco Pesole

AUD: We are still leaning towards a hold despite hot data

The Aussie dollar is the only G10 currency gaining ground this week amid a broad USD rebound. Hotter-than-expected inflation for July (3.5% headline, 3.6% trimmed mean) has caused a rapid rebuilding of hawkish expectations, with markets now pricing in a 28bp by year-end. That's around a 15bp jump since the start of the week.

This morning, Australia reported very strong household spending data for July (7% YoY), further helping the case for more tightening. However, our macro team is still leaning towards a prolonged hold by the Reserve Bank of Australia, but we admit the hawkish risks have increased.

House prices are declining and unemployment has edged higher, trends that should become clearer in the 2Q GDP data. Moreover, the Reserve Bank of Australia will likely wait for another set of quarterly numbers before concluding that the pickup in inflation is anything more than a one-off. Ultimately, we expect the inflation trajectory to prove benign enough to avert another hike, with our call for a Fed on a prolonged hold also diminishing any sense of urgency in Australia.

Markets are pricing in 12bp for the 29 September meeting, and we expect that pricing to be unwound, limiting AUD gains for now. Our view on AUD/USD remains upbeat into year-end with a 0.730 target, but that's relying on our dovish Fed call, which should have a net-positive impact on the pair even if a dovish repricing in the AUD curve happens.

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COMMODITIES, FOOD & AGRI

Is gold back?

Gold has rebounded sharply from its July lows, supported by renewed investment demand and growing unease over the US fiscal outlook. But persistent inflation and the possibility of further Fed tightening mean the recovery is unlikely to be straightforward

Growing concerns over the US fiscal situation and investment demand are giving momentum to gold prices

Fiscal risks give gold fresh momentum

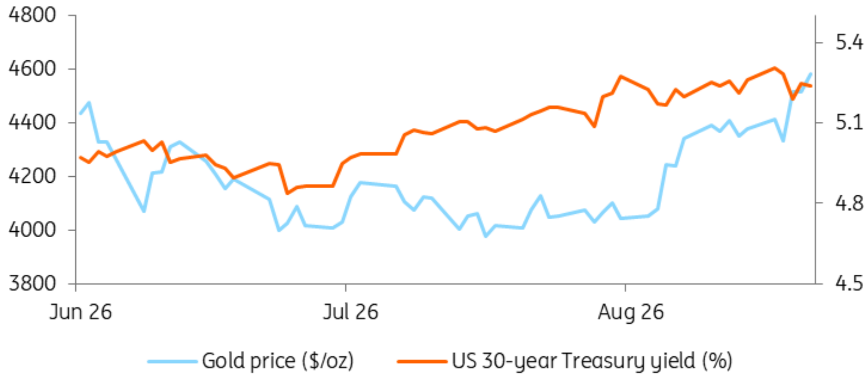
Gold has climbed from around $4,000/oz in mid-July to around $4,600/oz, returning to levels last seen in May.

The latest move followed the US Treasury's decision to increase its purchases of longer-dated government debt. The maximum size of buyback operations in the 10-to-30-year segment will rise from $2bn to at least $4bn, with Treasury Secretary Scott Bessent signalling that the programme could be expanded further.

The bond-market impact proved short-lived, with long-term yields subsequently recovering much of their decline. Gold, however, continued to strengthen.

In our view, gold's resilience suggests that the rally is not simply a response to lower yields. The prospect of larger Treasury buybacks has refocused attention on government borrowing and fiscal credibility. It has also revived concerns about currency debasement, reinforcing gold's appeal as a store of value.

Gold rebounds despite elevated long-term yields



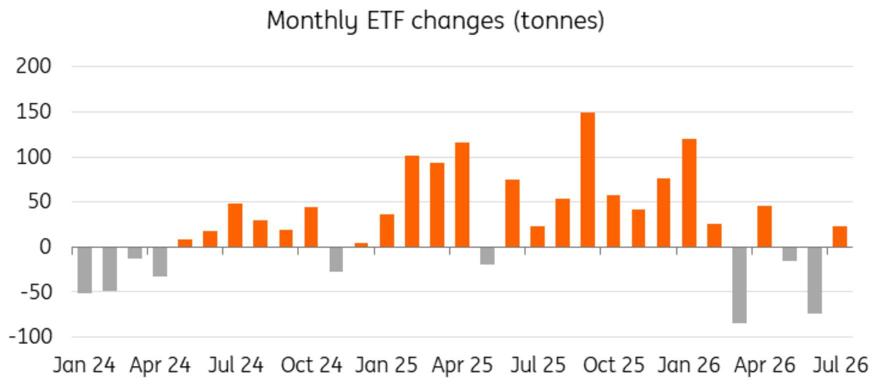
Source: Refinitiv, ING Research

A weaker dollar and lower short-term yields have helped gold rebound after prices found support around $4,000/oz in mid-July. Softer US data have also revived expectations that the Fed could begin easing policy in 2027.

Investment demand is recovering

The improvement in ETF demand is another positive signal. Global gold-backed ETFs attracted $3bn in July, lifting their holdings by 23 tonnes, according to the World Gold Council.

Gold ETF inflows return

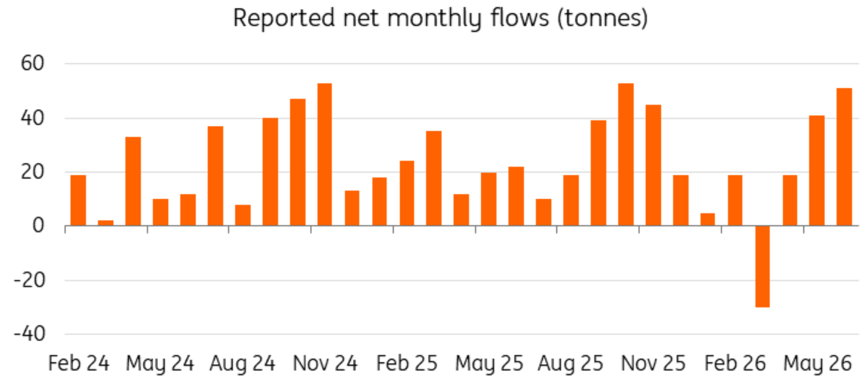


Source: WGC, ING Research

The recovery has continued into August. Funds tracked by Bloomberg added around 18 tonnes on Thursday alone, their strongest daily accumulation in almost a year.

Central banks also remain a significant source of demand. Reported net purchases reached 51 tonnes in June, taking the first-half total to 102 tonnes, with Poland and China leading the buying. We expect official-sector buying to continue supporting the market, but further gains will increasingly depend on whether Western investors maintain their renewed interest in gold.

Central bank purchases rebound



Source: WGC, ING Research

Inflation remains the main headwind

The rally still faces headwinds. Rising energy prices are adding to US price pressures and could keep monetary policy restrictive for longer.

Minutes from the Fed's July meeting showed that some policymakers favoured an immediate rate increase, while others were prepared to support further tightening if inflation remained elevated.

The Fed's annual Jackson Hole symposium from 27 to 29 August will be closely watched. Any indication that policymakers are becoming more willing to raise rates would risk lifting yields and the dollar. A greater focus on growth or financial stability would be more supportive for gold.

Upside risks to our outlook are growing

Our forecast of $4,150/oz for the fourth quarter (average price) assumes that persistent inflation keeps US monetary policy restrictive and prevents a sustained fall in yields. However, renewed ETF buying, a weaker dollar and mounting fiscal concerns are creating increasingly clear upside risks to our outlook.

Gold's correction appears to have found a floor. Renewed ETF buying and its resilience despite elevated yields suggest the recovery is on firmer footing, but further gains will depend on whether investment demand continues to build and how the Fed responds to persistent inflation.

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